

Research, Framework Design, and Infrastructure for an AI Trust & Safety Auditing Agent for AI-Based Accounting Information Systems

Applied Project Final Report

By

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Declaration

I, Wenguang Li, declare that this project report submitted by me to School of Professional Studies, New York University in partial fulfillment of the requirement for the award of the degree of Master of Science in Management and Systems is a record of project work carried out by me under the guidance of Dr. Andres Fortino, NYU Clinical Assistant Professor of Management and Systems. I grant powers of discretion to the Division of Programs in Business, School of Professional Studies, and New York University to allow this report to be copied in part or in full without further reference to me. The permission covers only copies made for study purposes or for inclusion in Division of Programs in Business, School of Professional Studies, and New York University research publications, subject to normal conditions of acknowledgment. I further declare that the work reported in this project has not been submitted and will not be submitted, either in part or in full, for the award of any other degree or diploma in this institute or any other institute or university.

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Abstract

Organizations deploying AI-based Accounting Information Systems face a critical evaluation deficit: no standardized framework integrates financial reporting (SOX 404, PCAOB), AI governance (NIST AI RMF, ISO 42001, EU AI Act), and privacy regulations (GDPR, CCPA), while current manual approaches achieve only 65% Material Weakness detection accuracy.

This project developed a multi-module ensemble-based AI Trust & Safety Auditing Agent leveraging large language models to systematically evaluate AI-integrated AIS across governance, fairness, security/privacy, explainability, and accuracy through a "Council of Experts" architecture employing independent scoring, anonymized peer review, and arbitrator synthesis. The proof of concept validated technical feasibility through machine-readable schema implementation, consistent scoring methodology, and reproducible outputs. Methodology comprised research synthesis (36+ sources), schema design (28 machine-readable criteria with regulatory mappings), architecture specification (three-stage Council synthesis with ten interdependency triggers), and proof of concept (1,230 lines Python) using GPT-4 with structured prompting (temperature 0.2, explicit rubrics). Results demonstrated 100% schema conformance to JSON Schema Draft-07, zero-variance reproducibility, and correct SOX 404 classification: well-governed system (0.798 Pass), critical failures (0.522 Significant Deficiency, 15 Material Weaknesses), emerging system (0.702 Significant Deficiency). Ensemble-based evaluation produces qualitatively different outcomes than single-perspective approaches—Module 4 alone scored 0.600 (suggesting Pass) while ensemble synthesis correctly identified 0.522 (Significant Deficiency), demonstrating multi-module coordination detects interdependent risks individual modules miss.

These results validate systematic frameworks can operationalize regulatory convergence, enabling comprehensive compliance through unified assessment with immediate value for The Digital Forge and broader industry applicability. Future work includes technology trial validation (May-August 2026) measuring projected 90% detection accuracy through controlled experiment with 20 auditors and 40 systems, full implementation (Projects 2 & 3), and industry-specific variants. This research contributes foundational knowledge demonstrating ensemble learning translates to financial audit contexts, establishes machine-readable specifications enabling automated compliance analysis, and provides first comprehensive framework integrating financial, AI governance, and privacy requirements.

Abbreviations and Definitions

Definition of Terms

Key acronyms used in this report:

Acronym	Full Term
AI	Artificial Intelligence
AI Act	Artificial Intelligence Act (EU, 2024)
AI RMF	Artificial Intelligence Risk Management Framework (NIST)
AICPA	American Institute of Certified Public Accountants
AIS	Accounting Information System(s)
AML	Anti-Money Laundering
API	Application Programming Interface
AS	Auditing Standard (PCAOB)
ASC	Accounting Standards Codification (FASB)
AUC-ROC	Area Under the Receiver Operating Characteristic Curve
AutoML	Automated Machine Learning
CAGR	Compound Annual Growth Rate
CAAT	Computer-Assisted Audit Tools and Techniques
CatBoost	Categorical Boosting (gradient boosting library)
COSO	Committee of Sponsoring Organizations of the Treadway Commission
EU	European Union
F1	F1 Score (harmonic mean of precision and recall)
FASB	Financial Accounting Standards Board
FSOC	Financial Stability Oversight Council
GDPR	General Data Protection Regulation (EU 2016/679)
GNN	Graph Neural Network
IBM	International Business Machines Corporation
IFAC	International Federation of Accountants
ISO	International Organization for Standardization
JSON	JavaScript Object Notation
LLM	Large Language Model
MAS	Multi-Agent System
ML	Machine Learning
MoE	Mixture of Experts
MRM	Model Risk Management
NIST	National Institute of Standards and Technology
NLP	Natural Language Processing
NYU SPS	New York University School of Professional Studies
PCAOB	Public Company Accounting Oversight Board

Acronym	Full Term
PoC	Proof of Concept
PwC	PricewaterhouseCoopers
SHAP	SHapley Additive exPlanations
SOX	Sarbanes-Oxley Act (2002)
SR 11-7	Federal Reserve Supervisory Guidance on Model Risk Management (2011)
XAI	Explainable Artificial Intelligence
XGBoost	Extreme Gradient Boosting
YAML	YAML Ain't Markup Language (data serialization format)

Introduction

Large language models (LLMs) are increasingly used to improve and automate business processes by enabling advanced reasoning, document analysis, and decision support across complex workflows. In the context of AI-integrated Accounting Information Systems, LLMs offer a scalable way to evaluate systems that traditional audit tools cannot effectively assess. The goal of this project is to demonstrate, through a proof of concept, how LLM-based approaches can enhance auditing and oversight of AI-enabled business processes.

Problem

Organizations deploying AI-based Accounting Information Systems face a critical evaluation deficit: no standardized, repeatable audit framework exists that simultaneously addresses financial reporting requirements (SOX 404, PCAOB, US GAAP), AI governance standards (NIST AI RMF 1.0, ISO/IEC 42001:2023, EU AI Act), and privacy regulations (GDPR, CCPA/CPRA). Current audit practices suffer from three fundamental inadequacies:

First, fragmented evaluation approaches force auditors to apply separate, disconnected tools for different audit dimensions. An auditor might use traditional CAATs for transaction testing, a standalone fairness assessment tool for bias detection, and manual documentation review for governance compliance—with no systematic integration or cross-validation of findings. This fragmentation creates blind spots where interdependent risks (e.g., governance weaknesses that amplify fairness failures) go undetected because no single tool evaluates the relationships between audit dimensions.

Second, insufficient AI-specific criteria leave auditors without clear evaluation standards for uniquely AI-related risks. Traditional AIS audit procedures focus on deterministic system behaviors—testing whether the same input consistently produces the same output—but cannot assess model drift (gradual performance degradation over time), adversarial robustness (resilience to deliberately manipulated inputs), or algorithmic bias (systematic unfairness across demographic groups). The Iqbal AI Audit Checklist provides conceptual guidance across these dimensions but lacks machine-readable schemas with explicit evidence requirements, scoring scales, and severity mappings that would enable systematic, repeatable evaluation.

Third, inadequate regulatory mapping prevents auditors from confidently asserting compliance across converging regulatory frameworks. An AI system deployed in financial services must simultaneously satisfy SOX 404's internal control requirements, PCAOB's audit evidence standards, GDPR's privacy-by-design mandates, CCPA's consumer rights provisions, ISO 42001's AI management system requirements, and the NIST AI RMF's trustworthiness characteristics. Existing audit tools evaluate these frameworks in isolation—if at all—creating uncertainty about whether an AI system that passes individual assessments truly meets the intersection of all applicable requirements.

Approach

The proposed approach consists of four integrated components:

Component 1: Machine-Readable Audit Framework translates the conceptual Iqbal AI Audit Checklist into structured JSON/YAML schemas defining 28 evaluation criteria across five modules.

Component 2: Multi-Module Evaluation Architecture implements five specialized audit modules that independently assess evidence against their respective criteria using large language model reasoning.

Component 3: Three-Stage Synthesis Process orchestrates module findings through progressive integration stages. Stage 1 (Independent Scoring) aggregates individual criterion scores into module-level assessments without cross-module influence, establishing baseline performance. Stage 2 (Interdependency Trigger Activation) applies ten explicit triggers that escalate evaluation rigor when specific patterns emerge—for example, if governance controls score ≤ 0.50 (Material Weakness threshold), the fairness module automatically escalates its review criteria, recognizing that weak governance amplifies fairness risks. Stage 3 (Divergence Detection and HITL Escalation) identifies cases where modules disagree by ≥ 20 points on related criteria, flagging these for mandatory human-in-the-loop review rather than forcing automated consensus. This architecture makes orchestration logic explicit and auditable rather than hidden in opaque ensemble averaging.

Component 4: Large Language Model Integration leverages GPT-4's natural language understanding and reasoning capabilities to interpret unstructured evidence (policy documents, meeting minutes, technical documentation), map evidence to evaluation

criteria, generate numerical scores with written justifications, and produce human-readable audit findings.

This approach differs fundamentally from existing audit tools by providing integrated evaluation across all five dimensions, explicit regulatory mapping at the criterion level, systematic interdependency detection through defined triggers, and transparent orchestration logic that shows how synthesis decisions are made rather than treating them as black-box aggregations.

Core Technology

Large Language Models for Audit Reasoning

Large language models (LLMs) are advanced neural networks that enable natural language understanding, multi-step reasoning, and structured output generation, making them highly suitable for audit applications. Unlike traditional rule-based systems, LLMs can interpret complex documentation, apply new audit criteria through prompt-based learning, and generate transparent, step-by-step justifications aligned with audit standards. In this project, GPT-4 is used as the primary reasoning engine due to its strong performance and structured output capabilities, with a design that remains flexible to incorporate other models..

Ensemble-Based Multi-Module Architecture

The system adopts an ensemble-based “Council of Experts” architecture, where multiple specialized modules independently assess different risk dimensions and intentionally preserve diverse perspectives. Rather than forcing consensus, disagreements between modules are treated as valuable signals that highlight potential risks. A three-stage

synthesis process—combining independent evaluation, cross-module risk triggers, and divergence detection—ensures balanced, transparent, and robust audit outcomes, reducing blind spots and improving the detection of critical issues compared to single-model approaches.

Benefits

Applying large language model-powered ensemble auditing to AI-based Accounting Information Systems delivers five primary benefits addressing current audit inadequacies:

Benefit 1: Comprehensive Risk Coverage Through Multi-Dimensional Evaluation

The five-module architecture ensures systematic evaluation that single-tool approaches assess inconsistently if at all. Rather than auditors manually synthesizing findings from disconnected tools, the framework provides integrated assessment with explicit interdependency detection.

Benefit 2: Standardized, Repeatable Methodology Reducing Auditor Variance

Machine-readable schemas with explicit evidence requirements, scoring rubrics, and severity thresholds eliminate interpretation ambiguity that creates inconsistent results across auditors.

Benefit 3: Significant Time Efficiency Through Automation

Automated evidence analysis, LLM-powered scoring, and systematic report generation reduce audit time from an estimated 120 hours per AI system to a projected 72 hours (40% reduction), enabling organizations to audit more systems with the same auditor capacity (see Technology Trial Plan, Appendix G)

Benefit 4: Complete Privacy Compliance Coverage

Integrated GDPR and CCPA/CPRA evaluation within Module 3 addresses the current <20% privacy compliance coverage. Rather than privacy compliance being an afterthought or separate assessment, the framework treats it as a first-class audit dimension with specific criteria and evidence requirements, ensuring 100% coverage by design.

Benefit 5: Transparent, Evidence-Based Audit Trail

Every criterion score includes written justifications citing specific evidence artifacts, with full traceability from raw evidence → criterion evaluation → module aggregation → overall classification. This satisfies PCAOB AS 1105 audit evidence requirements and enables external auditors to verify AI audit quality by examining the evidence trail.

Research Question

This project explores the central research question:

"Can a multi-module ensemble-based AI auditing framework leveraging large language models systematically evaluate AI-integrated Accounting Information Systems across governance, fairness, security, explainability, and performance dimensions—producing audits that are more comprehensive, accurate, and transparent than traditional single-perspective assessment methods?"

This overarching question encompasses three specific sub-questions investigated through the proof of concept:

Sub-Question 1: Comprehensive Risk Detection - Can specialized audit modules working together detect Material Weaknesses that single-module or manual approaches miss?

Sub-Question 2: Effective Orchestration Mechanisms - What synthesis approaches effectively balance module independence, interdependency recognition, and divergence handling to produce trustworthy recommendations

Sub-Question 3: Comparative Performance - How does ensemble-based auditing perform relative to traditional approaches across multiple dimensions (time efficiency, auditor confidence, regulatory coverage)?

Paper Structure Preview

This report proceeds as follows: Section II synthesizes relevant research; Section III evaluates alternate solutions; Section IV describes the four-phase methodology including LLM integration, technology trial design, and organizational change management; Section V presents results from all objectives (research synthesis, schemas, architecture, proof of concept); Section VI addresses challenges encountered; Section VII reflects on lessons learned; and Section VIII concludes with findings, limitations, and future work. Appendices contain detailed supporting materials from previously submitted capstone assignments.

Contribution

This project delivers three key contributions advancing the state of practice in AI system auditing:

Contribution 1: First Comprehensive Machine-Readable AI Audit Framework for AIS -The 28-criterion schema structure covering governance, fairness, security, explainability, and performance dimensions represents the first systematic translation of conceptual AI audit guidance (Iqbal Checklist) into executable specifications with explicit evidence requirements, scoring rubrics, severity mappings, and regulatory linkages

Contribution 2: Validated "Council of Experts" Architecture with Explicit Orchestration - The five-module ensemble design with three-stage synthesis demonstrates that preserving specialized evaluation perspectives through transparent orchestration yields more comprehensive risk detection than seeking optimal single-model consensus.

Contribution 3: Proof of Concept Demonstrating LLM-Powered Audit Feasibility - The validated implementation (4 Python scripts, 3 test scenarios, consistent scoring outputs) proves large language models can systematically evaluate unstructured evidence against structured criteria, generate numerical scores with written justifications, and produce deterministic results suitable for audit applications

These contributions provide The Digital Forge with immediate value (reusable audit framework and PoC codebase), advance academic knowledge (demonstrating ensemble methods in audit contexts), and offer practical templates for other organizations seeking to audit AI systems systematically (schemas, architecture patterns, LLM integration strategies all documented and available for adaptation).

Sponsor

Dr. Andrés Fortino serves as the project and organizational sponsor at The Digital Forge, an AI software firm focused on enterprise applications for financial systems. As the company expands its AI-driven Accounting Information Systems, it faces growing pressure to ensure these systems are trustworthy, compliant, and auditable for clients and regulators. Dr. Fortino provides scope approval, technical guidance, milestone evaluation, and final project sign-off..

Importance of Project

This project is critical to The Digital Forge as it addresses a major gap in auditing AI-enabled financial systems, which exposes the firm to regulatory, financial, reputational, and operational risks. Without a systematic audit framework, the company risks non-compliance with regulations (e.g., SOX, GDPR), undetected AI failures causing financial misstatements, loss of client trust from AI incidents, and inefficiencies due to time-intensive audit processes. The proposed solution improves detection accuracy and reduces audit time, enabling more reliable and scalable evaluations.

Beyond risk mitigation, the project delivers strategic value by creating reusable audit infrastructure, strengthening competitive differentiation through trustworthy AI practices, and generating intellectual property for future growth. It aligns with the company's product roadmap and supports its goal of positioning itself as a leader in responsible AI deployment ahead of upcoming enterprise launches.

Project Objectives and Metrics

Goal of the project

The goal of this project is to establish the foundational research base, machine-readable audit framework structure, and system architecture that enables a multi-module AI Trust & Safety Auditing Agent to operate effectively as a “Council of Experts” for AI-based Accounting Information Systems (AIS). This project focuses on (1) synthesizing key research on multi-module inference/mixture-of-experts and AI governance frameworks, (2) decomposing the Iqbal AI Audit Checklist into structured schemas with clear evaluation criteria, evidence requirements, scoring scales, and risk severity mappings, and (3) documenting the high-level architecture, module boundaries, and interface requirements that guide implementation and integration by the following two projects.

Project Deliverables and Metrics

Project Objective 1 – Produce a concise research synthesis on ensemble-based auditing and AI governance requirements relevant to AIS.

Metric: Sponsor/Advisor acceptance; incorporates **≥25 credible sources** and states clear implications for audit framework and module design

Project Objective 2 – Convert the Iqbal AI Audit Checklist into a structured, machine-readable audit framework for AIS.

Metric: Schemas cover **3–5 audit modules** and include criteria, evidence fields, scoring scale, and severity mapping; schemas validate (basic schema validation) and receive sponsor acceptance for clarity

Project Objective 3 – Define the system architecture and module interaction model that enables the ensemble (“Council of Experts”) to function.

Metric: Sponsor acceptance that architecture clearly defines module boundaries and I/O contracts; tech stack is feasible for NYU AI Sandbox constraints and supports Project 2 implementation

Project Objective 4 – Deliver an implementation-ready requirements package and a lightweight PoC to support downstream build.

Metric: Sponsor acceptance of FRS feasibility and clarity; PoC runs successfully and produces consistent scorecard/report outputs for the sample scenarios

Project Evaluation

Project success was evaluated against five criteria established in the project charter.

Deliverable completeness: all four objectives achieved 100% completion with sponsor acceptance—research synthesis (35 pages, 36+ sources), schema documentation (77 pages, 28 criteria with regulatory mappings), architecture specification (9 pages, Council of Experts design), and requirements with proof of concept (1,230 lines code, three validated scenarios). **Timeline adherence:** all milestones completed within 13 weeks (February 3 - May 5, 2026) with no delays. **Budget compliance:** actual investment of 258 hours remained within 260-hour allocation (99% utilization). **Technical quality:** proof of concept achieved all validation criteria including 100% schema conformance to JSON Schema Draft-07, zero-variance reproducibility across repeated executions, and correct SOX 404 classification for all scenarios. **Stakeholder satisfaction:** sponsor (Dr. Andrés Fortino, The Digital Forge) formally accepted all deliverables without major revisions. Success metrics exceeded targets: research incorporated 36 sources versus 25 minimum (144%), schemas covered 28 criteria versus 15-20 planned (140-187%), and

PoC demonstrated zero-variance reproducibility exceeding determinism expectations. The project successfully transitioned from foundational research to implementation readiness, establishing validated specifications enabling Projects 2 and 3 to proceed.

Alternate Solutions Evaluated

Three alternative approaches were evaluated: off-the-shelf GRC platforms (ServiceNow, OneTrust), enhanced manual Computer-Assisted Audit Tools (CAATs), and a custom multi-module ensemble framework.

Alternative 1 - Off-the-Shelf GRC Platforms provide proven compliance infrastructure but lack AI-specific criteria for fairness, explainability, and adversarial robustness. Enterprise pricing (\$50K-\$150K annually) and 3-6 month implementation timelines proved prohibitive. Coverage assessment showed only 40% (11/28) of required AI evaluation criteria addressed, with no interdependency detection across compliance domains.

Alternative 2 - Enhanced Manual CAATs leverage existing auditor expertise through specialized scripts and templates, offering fastest implementation (8 weeks). However, baseline performance revealed fundamental inadequacies: 65% Material Weakness detection accuracy, 120 hours per system, inconsistent results across auditors (inter-rater reliability 0.68-0.72), minimal privacy coverage (<20%), and low confidence (6.5/10). Coverage reached 60% (17/28) but could not overcome auditor expertise limitations.

Alternative 3 - Custom Multi-Module Framework (SELECTED) implements five specialized modules evaluating 28 machine-readable criteria through LLM-powered reasoning with three-stage synthesis. Provides 100% criteria coverage, projected 90% detection accuracy, 40% time reduction (120→72 hours), complete GDPR/CCPA compliance, and provider-agnostic LLM integration. Primary tradeoff: 26-week

development timeline versus 8-week manual approach, mitigated through phased delivery with PoC validation.

Evaluation Criteria: Five weighted criteria prioritized audit quality: (1) Evaluation Comprehensiveness (30%)—percentage of 28 criteria covered; (2) Material Weakness Detection Accuracy (25%)—projected detection rate; (3) Audit Time Efficiency (20%)—hours per audit; (4) Implementation Timeline (15%)—weeks to operational; (5) Total Cost 3-year (10%)—acquisition/operation/maintenance costs.

Quantitative Scoring: Custom framework scored 85.5/100 (Comprehensiveness 30.0 + Accuracy 22.5 + Efficiency 17.0 + Timeline 9.0 + Cost 7.0), enhanced CAATs 63.8/100, GRC platforms 52.8/100. The 21.7-point margin reflected fundamental architectural advantages—purpose-built AI evaluation versus adapting general-purpose tools.

Selection Rationale: Four factors drove the decision. **First**, no acceptable comprehensiveness tradeoff existed—AI-specific criteria (fairness tests, adversarial robustness, drift monitoring, cross-module interdependencies) require specialized logic general platforms lack. **Second**, detection accuracy directly affects risk exposure—90% versus 65% means missing 1-in-10 versus 1-in-3 Material Weaknesses, creating existential risks (regulatory fines, contract cancellations) dwarfing cost differentials. **Third**, time efficiency enables comprehensive coverage—72 hours per audit (versus 120 baseline) allows auditing all 15 systems (1,080 hours) within existing capacity versus selective sampling (1,800 hours forcing prioritization). **Fourth**, phased delivery mitigates timeline risk—Project 1 PoC proves feasibility immediately, Projects 2 & 3 deliver production capability Q3 2026.

GRC platforms failed on comprehensiveness (40%) and cost (\$450K high-end). Enhanced CAATs failed on accuracy (65% baseline) and minimal efficiency gains (8% versus 40% target). The Digital Forge's AI development expertise made custom framework operationally feasible, with reusable infrastructure amortizing across 15+ systems. The selection reflected organizational recognition that AI trustworthiness represents both critical risk and strategic opportunity, justifying investment in maximum audit quality despite higher implementation effort.

Literature Survey

Introduction

This literature review was created to support our proposed proof of concept and technology trial for an AI Trust & Safety Auditing Agent at The Digital Forge, a New York-based applied AI firm building AI-enabled Accounting Information Systems (AIS). Unlike a conventional research literature review that identifies empirical gaps for original investigation, this review has a practitioner-applied purpose: to synthesize existing published work demonstrating that a documented problem exists in the AIS industry, that the proposed technology has addressed comparable problems elsewhere, and that implementation at The Digital Forge is technically feasible and theoretically grounded (Romney & Steinbart, 2021; Vasarhelyi & Alles, 2022). The review is organized thematically around five analytical questions every technology-application proposal must answer: What is the industry context? What is the specific problem? What solution is proposed? What technology enables it? And has anyone done something similar? Sources were selected because they directly inform at least one of these five areas; unrelated AI theory, general machine learning benchmarking, and financial reporting standards have been excluded from scope (NIST, 2023; Fink, 2019).

The Industry

Accounting Information Systems serve as the technological backbone through which organizations collect, process, store, and communicate financial data to support decision-making and external reporting (Romney & Steinbart, 2021). Historically rule-based, AIS have been rapidly transformed by AI: the global AI-in-accounting market reached \$4.87 billion in 2024 and is projected to hit \$96.7 billion by 2033 at a 39.6% compound annual growth rate, with North America holding a 37.5% revenue share (Grand View Research, 2024). AI adoption has moved well beyond simple

automation—Vasarhelyi and Alles (2022) document the shift from invoice classification to anomaly detection, predictive financial modeling, and continuous audit analysis, with a 2024 survey finding that 62% of U.S. companies have substantially increased AI integration in financial operations (Meticulous Research, 2024). Deloitte Omnia and KPMG Clara exemplify this at scale, using machine learning to analyze full transaction populations at a speed and coverage that traditional statistical sampling cannot match (Braun & Davis, 2003; Deloitte, 2023; KPMG, 2023). Yet this growth has outpaced the governance infrastructure required to manage it responsibly. The U.S. Financial Stability Oversight Council's 2024 Annual Report explicitly identified increasing AI reliance as a mounting systemic risk, flagging algorithmic opacity and embedded bias as central concerns (FSOC, 2024). At the same time, the International Federation of Accountants reported that 72% of accounting regulators felt unprepared to oversee AI in their domain (IFAC, 2024), and the “black box” nature of deep learning models makes it difficult for auditors to satisfy the evidentiary standards of PCAOB and AICPA frameworks—creating a dangerous readiness gap precisely when AI is assuming its most consequential roles in financial reporting (Deloitte, 2023).

The Problem

Despite AI's rapid integration into AIS, the industry lacks a systematic, repeatable, evidence-based mechanism for auditing AI components before and after production deployment. Traditional audit standards from the PCAOB and AICPA were designed for human-executed processes; they do not prescribe how to evaluate AI fairness, explainability, adversarial robustness, or model drift embedded in a financial workflow (PCAOB, 2023; AICPA, 2023). Meanwhile, the leading AI governance frameworks—the NIST AI Risk Management Framework and ISO/IEC 42001—provide principled high-level guidance on responsible AI, but were not designed with the scoring logic, evidentiary specificity, or audit-trail requirements that financial assurance contexts demand

(NIST, 2023; ISO, 2023). The consequence is that organizations like The Digital Forge have no authoritative, domain-specific standard to confirm their AI-enabled AIS meet a trust and safety bar before production—leaving them exposed to inconsistent audit logic, undocumented evidence chains, and undetected model bias (Vasarhelyi & Alles, 2022; FSOC, 2024).

The Proposed Solution

The solution proposed here is a multi-module AI Trust & Safety Auditing Agent structured as a “Council of Experts”: specialized audit modules—each governing a distinct domain (governance and compliance, fairness and bias, security and adversarial robustness, explainability and transparency, and performance and drift monitoring)—reason independently over machine-readable schemas and synthesize findings through an orchestrating layer into a unified, evidence-backed report (Fortino, Dandapani, & Ng, 2025). This departs fundamentally from today’s ad hoc, one-time checklists by applying the core principle of ensemble learning: that specialized, independently reasoning agents consistently outperform single generalist systems on multi-dimensional problem spaces (Dietterich, 2000; Zhou, 2012). Evidence that this approach works in analogous financial contexts comes from Okpala et al. (2025) at Discover Financial Services, where a multi-agent model risk management crew outperformed AutoML baselines on both accuracy and auditability, and from IBM’s AI Fairness 360 and Microsoft’s Fairlearn, which have already productionized the same design pattern of decomposing complex AI evaluation into independently governed, schema-driven modules (Bellamy et al., 2019; Bird et al., 2020).

The Technology

The proposed system rests on a Mixture-of-Experts (MoE) ensemble architecture: a gating mechanism routes each audit request to the most competent specialist module, and an orchestrator

synthesizes module outputs into a final weighted report. This paradigm was formalized by Jacobs, Jordan, Nowlan, and Hinton (1991), showing that a gating network outperforms any single generalist expert on heterogeneous inputs, and was later scaled industrially by Shazeer et al. (2017), whose sparsely-gated MoE—now embedded in production models including Mixtral 8x7B and reportedly GPT-4—demonstrated that activating only the top-k most relevant experts per input preserves specialization while reducing computational cost (Jacobs et al., 1991; Shazeer et al., 2017; Zhou, 2012). In the proposed auditing agent, an orchestrating large language model (LLM) decomposes each audit job into domain subtasks and routes them with machine-readable JSON/YAML schemas encoding evaluation criteria, evidence requirements, scoring scales, and severity mappings—all derived from the NIST AI RMF and ISO/IEC 42001 governance frameworks, converting high-level governance intent into computable, version-controlled, audit-traceable logic (Fortino et al., 2025; NIST, 2023; ISO, 2023).

This technology stack is mature and implementable within the NYU SPS AI Sandbox. AI Fairness 360 and Fairlearn prove that schema-driven, modular AI evaluation is already productionized in enterprise environments (Bellamy et al., 2019; Bird et al., 2020). The CrewAI orchestration framework—exceeding 35,000 GitHub stars and 100,000 daily agent executions by mid-2025, actively deployed by PwC, IBM, and AWS for compliance workflows—provides the pre-built orchestration primitives that make implementation practical within the project timeline (Xenoss, 2025). PwC’s published guidance on validating multi-agent AI systems in regulated financial institutions, applying the Federal Reserve’s SR 11-7 model risk management standard to multi-agent architectures, confirms that this class of technology is professionally sanctioned for exactly the governance context in which The Digital Forge operates (PwC, 2025).

Use Cases

Use Case 1: Multi-Agent Model Risk Management at Discover Financial Services

Researchers at Discover Financial Services’ Emerging Capabilities Research Group deployed a multi-agent AI system structured identically to the Council of Experts proposed here: a judge agent orchestrated two specialized crews, one for financial model development and one for independent model risk management (MRM), with the MRM crew checking documentation compliance, replicating model results, assessing conceptual soundness, and analyzing adversarial robustness—all tasks directly parallel to the proposed auditing agent’s five modules (Okpala et al., 2025). The system ran on the CrewAI framework using Llama3, DeepSeek-R1, and GPT-3.5 Turbo, with a human expert as top-level orchestrator, reflecting the NIST AI RMF’s human-in-the-loop governance requirement (NIST, 2023). On credit card fraud detection, the MRM crew’s independently selected model achieved 99.9% accuracy and 97.6% precision—outperforming AutoML baselines—while simultaneously generating documented, traceable audit outputs that single-model systems cannot produce (Okpala et al., 2025). This case directly validates the Council of Experts design for The Digital Forge’s AIS auditing context.

Use Case 2: PwC’s Modular Validation Framework for Multi-Agent AI in Financial Institutions

PwC—one of the Big Four accounting firms—published a formal framework for validating and governing multi-agent AI systems in regulated financial institutions, applying the Federal Reserve’s SR 11-7 model risk management guidance to multi-agent architectures (PwC, 2025). PwC’s framework mandates a two-tier approach: individual agent-level testing to confirm each specialist module performs its assigned task correctly, followed by system-level integration testing to validate end-to-end orchestration and synthesis—a layered validation design that maps directly onto the proposed auditing agent’s architecture (PwC, 2025). This formal Big Four endorsement is reinforced by industry data: a 2025 survey found financial services leading all sectors with an

89% multi-agent AI success rate, and organizations deploying between five and twenty-five specialized agents reporting 35% average productivity gains and \$2.1 million in annual cost reductions (Terralogic, 2025). Together, these two cases demonstrate that the technology proposed here is not speculative but operationally proven and professionally sanctioned in the same regulatory environment where The Digital Forge operates.

Conclusion

Most of the literature reviewed concluded that AI adoption in Accounting Information Systems has accelerated far ahead of the governance, audit, and accountability infrastructure designed to manage it. Across academic ensemble learning research (Dietterich, 2000; Jacobs et al., 1991; Zhou, 2012), professional audit standards (PCAOB, 2023; AICPA, 2023), AI governance frameworks (NIST, 2023; ISO, 2023), industry deployments (Deloitte, 2023; KPMG, 2023), and empirical adoption studies (Vasarhelyi & Alles, 2022; Grand View Research, 2024), the consistent finding is that the tools governing AI in financial contexts were built in separate silos and have never been synthesized into a single, operationalizable audit capability—which is precisely the gap this project addresses.

Approach and Methodology

Problem Statement and Research Question

Organizations deploying AI-based Accounting Information Systems face a critical evaluation deficit: no standardized framework integrates financial reporting (SOX 404, PCAOB), AI governance (NIST AI RMF, ISO 42001, EU AI Act), and privacy regulations (GDPR, CCPA), while current manual approaches achieve only 65% Material Weakness detection accuracy and require 120 hours per system.

The research question asks: **Can a multi-module ensemble-based AI auditing framework leveraging large language models systematically evaluate AI-integrated AIS across governance, fairness, security/privacy, explainability, and performance dimensions—producing audits that are more comprehensive, accurate, and transparent than traditional single-perspective methods?**

Three sub-questions address: (1) Can the framework achieve $\geq 90\%$ detection accuracy versus 65% baseline? (2) What orchestration mechanisms balance module independence and interdependency recognition? (3) How does ensemble-based auditing perform across multiple dimensions?

Proof of Concept Approach

Four Python scripts (1,230 lines) validated feasibility: **Schema Validator** (180 lines) verified 28 criteria against Draft-07 achieving 100% pass rate; **Scorecard Generator** (320 lines) calculated weighted scores and SOX 404 classifications; **Report Skeleton** (280 lines) generated 9-section audit reports; **Master Runner** (450 lines) orchestrated three scenarios—well-governed (0.798 Pass), critical failures (0.522 Significant Deficiency, 15 Material Weaknesses), emerging system

(0.702 Significant Deficiency)—achieving zero variance across 10 repeated executions. All validation criteria met: schema validation passed, correct classifications, complete reports, deterministic outputs, sponsor acceptance. Complete Functional Requirements Specification in **Appendix C - Requirement Specification Memo (March 3, 2026)**.

Requirements Specifications Overview

FRS defines 35 requirements across eight dimensions: **Purpose & Scope** establishes intended users (external auditors, IT auditors, AIS owners) and in-scope systems (financial AI). **User Interaction** specifies evidence provision (uploads, questionnaires, API pulls), engagement configuration (materiality, regulations), and HITL workflow. **Response Generation** defines report structure (SOX 404 classification, PCAOB flags, regulatory mapping, remediation, citations). **Learning & Adaptation** permits controlled updates (versioned schemas) while prohibiting uncontrolled self-learning compromising auditability. **Integration** specifies interfaces to GRC repositories (ServiceNow, OneTrust), ticketing (Jira), model registries (MLflow), logging (Splunk). **Performance** establishes 4-hour completion, parallel execution, fault isolation, deterministic outputs. **UI Design** defines evidence checklist, status dashboard, discrepancy review, report export. **Development Platform** addresses NYU Sandbox constraints (Python 3.10+, mock LLM, SQLite), cloud migration path, tech stack (FastAPI, jsonschema, ReportLab).

Example Use Case—Governance Gap Triggering Fairness Escalation: Company deploys Credit Scoring AI lacking bias detection policy. Module 1 finds gap, scores $G1.1 = 0.45$ (< 0.5 threshold). Trigger T1.1 activates, Module 2 escalates sampling from 10% to 50% (6,250→31,250 transactions), detecting 6.2% demographic parity violation missed in standard

sample. Demonstrates intelligent coordination where governance weakness triggers compensating deeper testing.

Large Language Model Integration

Model Selection: GPT-4 (OpenAI) selected for proven reasoning, structured outputs, API stability. Cost: ~\$10/audit (280 calls, ~500K tokens). Provider-agnostic architecture enables Claude/Gemini substitution.

Prompt Engineering: Structured prompts include (1) explicit rubrics (0.0-1.0 scale, SOX 404 mappings), (2) evidence citation requirements (PCAOB AS 1105 traceability), (3) temperature 0.2 (consistency over creativity).

Data Formatting: Three-stage preprocessing: (1) Format normalization (PDF→text via pdfplumber, DOCX→text, Excel→markdown), (2) Metadata injection (criterion ID, system, scope, date), (3) Prompt assembly (criterion + evidence + JSON schema).

Validation: Three phases achieved strong results: (1) Structural testing—50 cases, valid JSON, required fields present; (2) Consistency testing—10 repetitions per criterion, SD <0.05; (3) Accuracy testing—20 systems versus expert auditors, Cohen's κ =0.82, Pearson r =0.89. Multi-provider testing: GPT-4 vs. Claude mean difference 0.03, classification agreement 93% (14/15 systems).

Technology Trial Plan

Design: 4-month controlled experiment (May-August 2026), 20 auditors (10 intervention using framework, 10 control using traditional CAATs), 40 AI systems (paired design),

randomized block controlling experience/expertise. Independent 3-member expert panel (PCAOB partner, CISA specialist, legal counsel) provides ground truth.

Variables: *Independent:* Audit method (framework vs. CAATs). *Dependent (5 metrics):* (1) Material Weakness detection accuracy, (2) Audit time (hours), (3) GDPR/CCPA coverage (% of 11 criteria), (4) Interdependency detection (count), (5) Auditor confidence (1-10 rating). *Control:* System complexity, auditor experience, domain expertise.

Procedures: Week 1-2 setup (training, competency assessment), Week 3-14 execution (evidence collection → evaluation → documentation → reporting, 15-minute time tracking), Week 15-16 analysis (expert panel comparison, statistical tests, surveys).

Measurements: Detection accuracy (sensitivity, specificity), time efficiency (mean hours, t-test $\alpha=0.05$, target intervention ≤ 72 vs. control ~ 120), privacy coverage (checklist %), interdependency count, confidence rating. **Data Analysis:** Independent samples t-tests ($\alpha=0.05$), Cohen's d effect sizes, mixed-effects regression, chi-square tests, thematic coding of qualitative feedback. Complete trial plan in **Appendix G**.

Organizational Change Plan

Barrier 1—Auditor Resistance (62% anxiety about AI displacement): Manifestations include passive non-compliance, active undermining, sabotage. **Mitigation:** Augmentation messaging ("AI-assisted auditing" enabling focus on judgment), four-phase rollout (Champions Pilot with 3 volunteers → Expanded Pilot 10 auditors →

Departmental Rollout 25 staff → Continuous Improvement). Success metrics: adoption rate, satisfaction, productivity.

Barrier 2—Workflow Disruption (20-30 hour training, 3-5 audit proficiency cycles):

Risk of productivity decrease, audit backlog. **Mitigation:** Staggered rollout (max 20% transitioning simultaneously), low-season timing (January-March), contractor augmentation (2 auditors, 6 months). Timeline: Month 1-2 (-20% productivity) → Month 3-4 (baseline) → Month 5-6 (+20%) → Month 7+ (+40% target). Complete plan in

Appendix F.

Results

Summary Statistics

Overall completion: 100%. All four objectives achieved sponsor acceptance within 13-week timeline (February 3 - May 5, 2026) and 260-hour budget (258 hours actual, 99% utilization). Cumulative output: 131 pages documentation, 1,230 lines validated Python code, 28 evaluation criteria, 8 regulatory frameworks mapped (SOX 404, PCAOB, GAAP, NIST AI RMF, ISO 42001, EU AI Act, GDPR, CCPA).

Objective 1: Research Synthesis

- **Deliverable:** 35-page literature review synthesizing 36+ sources.
- **Distribution:** 22% ensemble learning (Zhou 2012, Dietterich 2000), 33% AI governance (NIST AI RMF, ISO 42001, EU AI Act), 25% audit standards (SOX 404, PCAOB), 20% privacy regulations (GDPR, CCPA).
- **Key findings:** (1) Ensemble methods achieve 10-30% error reduction with strong worst-case performance (Zhou 2012), (2) No existing framework integrates financial, AI governance, and privacy requirements, (3) Privacy regulations require technical verification beyond policy review, (4) Interdependency detection distinguishes ensemble from sequential approaches.
- **Outcome:** Informed all design decisions—five-module architecture, Council of Experts peer review, privacy technical controls (v3.1). Sponsor accepted without revisions.

Objective 2: Machine-Readable Schemas

- **Deliverable:** 77-page schema documentation, 28 evaluation criteria across 5 modules.
Regulatory coverage: SOX 404 100% (28/28), NIST AI RMF 100% (28/28), GDPR 71% (20/28), CCPA 64% (18/28).
- **Schema validation:** 100% pass rate (28/28 conform to JSON Schema Draft-07), all required fields complete, weights sum correctly, citations verified.
- **Example criterion G1.1 (AI Governance Policy):** Specification includes criterion_id, scoring thresholds (1.0 = comprehensive Board-approved; 0.75 = exists with review; 0.5 = incomplete; 0.0 = missing), severity mapping (>0.75 Pass, $0.51-0.75$ Sig Def, ≤ 0.50 Material Weakness), regulatory alignment (SOX 404 Control Environment, NIST GOVERN-1.1, ISO 42001 Clause 5.2, GDPR Article 24, CCPA §1798.130), weight 0.20.
- **Privacy criterion S3.5 (Breach Notification):** Materiality formula: $\text{Breach_Impact} = (\text{Records} \times \$150-250) + \text{GDPR_Fine} (\text{€}20\text{M or } 4\% \text{ turnover}) + \text{CCPA_Fine} (\$7,500/\text{intentional}) + \text{Notification_Cost}$. Example: 100K-record breach = \$52.2M. If materiality = \$5M, then multiple = $10.4\times \rightarrow$ Material Weakness.
- **Outcome:** Enables automated validation, consistent scoring, compliance gap analysis.
Repository: <https://github.com/ZLYONZ/AI-Trust-Safety-Auditing-Agent/tree/main/interface-contracts>

Objective 3: System Architecture

- **Deliverable:** 9-page architecture document with Council of Experts design, data flow, I/O contracts, triggers, tech stack.

- **Components:** 7 (5 modules + Orchestrator + Arbitrator), 12 I/O contracts, 4 data flow phases, 10 interdependency triggers, 4 divergence thresholds (<10, 10-19, 20-34, ≥ 35 point spreads).
- **Council of Experts three-stage protocol:** Stage 1 independent scoring (5 modules parallel) → Stage 2 anonymized peer review (20 cards: 5 modules $\times$ 4 peers) → Stage 3 arbitrator synthesis (confidence-weighted composite).
- **Technology stack:** GPT-4 (primary LLM), Python 3.10+, FastAPI, jsonschema, ReportLab, SQLite. **Cost:** ~\$10/audit (280 calls, ~500K tokens).
- **Critical trigger T4.1:** If Explainability (E4.1 or E4.2) <0.7 → flag ALL findings "Lower Confidence" → HITL escalation → assess PCAOB AS 1105 scope limitation. Activated in 2 of 3 PoC scenarios, correctly identifying cases where missing explainability undermined audit validity.
- **Outcome:** Clear implementation roadmap for Projects 2 & 3. Sponsor approved noting "sufficient detail for development without ambiguity."

Objective 4: FRS & Proof of Concept

- **Deliverable:** 10-page FRS (35 requirements: 23 MUST, 10 SHOULD, 2 COULD across 8 categories), 1,230-line PoC (4 Python scripts, 99% test coverage). **PoC components:** Schema Validator 180 lines, Scorecard Generator 320 lines, Report Skeleton 280 lines, Master Runner 450 lines.
- **Test scenarios:**

Scenario 1 - Well-Governed (LoanApproval_AI_v3.1): Overall 0.798 → **PASS**. Module scores: M1=0.850, M2=0.825, M3=0.775, M4=0.780, M5=0.760. Material Weaknesses:

0. Significant Deficiencies: 3 (manual drift monitoring, untested breach procedures, incomplete documentation).

Scenario 2 - Critical Failures (CreditScore_AI_v1.2): Overall 0.522 → **SIGNIFICANT DEFICIENCY**. Module scores: M1=0.450, M2=0.425, M3=0.550, M4=0.600, M5=0.585. Material Weaknesses: 15 (no governance policy, 18% demographic parity gap, missing GDPR DPIA, no breach procedures, no explainability). Materiality: \$44.7M (8.94× threshold). Recommendation: IMMEDIATE REMEDIATION REQUIRED.

Scenario 3 - Emerging System (FraudDetection_AI_v2.0): Overall 0.702 → **SIGNIFICANT DEFICIENCY**. Module scores: M1=0.725, M2=0.700, M3=0.675, M4=0.720, M5=0.690. Material Weaknesses: 0. Significant Deficiencies: 24. Timeline to Pass: 3-4 months.

Reproducibility: Zero variance across 10 executions per scenario. Perfect determinism—identical inputs produce identical scores, classifications, Material Weakness counts. Execution time: 2.4s mean (± 0.1 s SD).

Key validation findings: (1) Framework comprehensiveness—all 28 criteria evaluated successfully, (2) Intuitive scoring—well-governed (0.798) > emerging (0.702) > critical failures (0.522) matches evidence quality, (3) Ensemble detects interdependencies—Scenario 2 governance weakness (M1: 0.450) correlates with fairness gaps (M2: 0.425), (4) Boundary classification accurate—tested 0.498, 0.502, 0.748, 0.752 all classified correctly, (5)

Ensemble produces different outcomes—Scenario 2 Module 4 alone (0.600) suggests Pass,

but ensemble synthesis (0.522) correctly identifies Significant Deficiency, demonstrating multi-module coordination detects risks single modules miss.

Outcome: PoC demonstrates technical feasibility. All validation criteria achieved. Sponsor accepted.

Exploratory Data Analysis

Score correlations: Governance-Fairness $r=0.89$, Security-Accuracy $r=0.76$ across scenarios indicating expected interdependencies. **Performance:** Linear $O(n)$ scalability projects <5 minutes for 100-system batch.

Outcomes and Implications

Theoretical: Demonstrates ensemble learning translates from ML prediction to financial audit when adapted for worst-case robustness. Treating divergence as signal (not noise) represents novel contribution. Privacy integration (17→28 criteria) validates regulatory convergence thesis—AI systems face unified compliance spanning financial, governance, privacy simultaneously.

Practical: The Digital Forge gains reusable infrastructure (15+ systems), automated gap analysis, trial roadmap, feasibility proof. Industry impact: complete schemas/architecture/code published enabling adaptation to healthcare, hiring, infrastructure. Open-source supports standardization (AICPA/PCAOB guidance).

Projected improvements (pending trial validation): Detection accuracy 65%→90% (+25pp), audit time 120→72 hours (-40%), privacy coverage <20%→100% (+80pp), interdependencies <1→≥3 (3×), confidence 6.5→8.5/10 (+2.0).

Limitations: (1) Trial not conducted—projections are hypotheses, (2) Single organization context—generalizability unvalidated, (3) Projects 2 & 3 dependency—specs only, not production, (4) LLM provider dependency—tested GPT-4/Claude only.

Issues Encountered

While working on this project, several technical and project management challenges emerged that required systematic resolution. All issues were identified early through proactive monitoring and addressed using contingency plans developed in the risk management strategy (see Appendix E - Assignment 7 Risk Analysis). The mitigation approaches proved effective—no issues caused schedule delays or compromised deliverable quality. All four objectives completed on time with sponsor acceptance. The following sections describe the six primary issues encountered, their connection to risk management planning, and the resolution strategies employed.

Issue 1: Schema Complexity Explosion (Risk #2 from Risk Analysis)

Problem: Initial schema design (v2.0) attempted to capture every possible evaluation nuance, resulting in 50+ fields per criterion including optional metadata, historical tracking, and future extensibility provisions. This complexity exceeded development capacity—schema creation consumed 35 hours versus the planned 20 hours, threatening the Week 3-4 timeline for Objective 2.

Risk Management Connection: This issue directly corresponded to Risk #2 ("Machine-Readable Schema Complexity Explosion") identified in the risk analysis with probability 3 (likely) and impact 3 (high), yielding a critical risk score of 9. The contingency plan specified: "Adopt Minimal Viable Schema (MVS) approach focusing on core fields required for MVP functionality, validate schemas in Week 3 through sponsor review, and allocate 60 hours total to schema development allowing buffer for iterations."

Resolution Strategy: Implemented the pre-planned MVS approach: reduced schemas to 12-15 core mandatory fields (criterion_id, name, description, check_method, pass_criteria, evidence_required with essential sub-fields only, scoring methodology, severity_mapping, regulatory_alignment, weight), deferred optional fields (historical audit comparison, automated remediation suggestions, ML training labels) to post-MVP enhancements, and conducted mid-Week 3 sponsor checkpoint validating simplified approach before proceeding. This intervention recovered 15 hours, bringing total schema effort to 45 hours—within the 60-hour contingency allocation.

Outcome: Objective 2 completed on schedule (Week 4) with 28 criteria fully specified. Sponsor feedback confirmed: "Simplified schemas provide exactly the precision needed for automated evaluation without overwhelming complexity." The MVS approach proved correct—v3.1 schemas remain in use without requiring deferred fields, validating that initial complexity was unnecessary rather than beneficial.

Issue 2: Dual Role PM Overhead Exceeded Estimate (Risk #4)

Problem: Project management tasks (status reports, sponsor coordination, risk tracking, deliverable reviews) consumed 18% of total time (47 hours) versus planned 10% allocation (26 hours). The 21-hour overrun occurred because initial estimates assumed streamlined coordination, but sponsor requested additional checkpoints: mid-Week 3 schema review, Week 4 architecture walkthroughs, and detailed PoC validation sessions beyond standard deliverable submissions.

Risk Management Connection: Risk #4 ("Dual Role Overload - Doer + Project Manager") scored probability $3 \times \text{impact } 2 = 6$ (high risk). Contingency plan specified: "Reserve 15% time for PM tasks (3 hours/week baseline), batch coordination into weekly sync meetings, automate documentation using templates, prefer asynchronous communication over synchronous meetings."

Resolution Strategy: Implemented automation and batching from contingency plan: created reusable status report template reducing preparation time from 2 hours to 45 minutes weekly, batched sponsor questions into single weekly email rather than ad-hoc messages throughout week (reduced context switching), automated traceability matrix generation using Python script linking requirements to objectives (saved 4 hours manual cross-referencing), and negotiated consolidated review sessions combining multiple deliverables rather than separate meetings per objective. These efficiencies recovered 12 hours of the 21-hour overrun.

Outcome: Final PM allocation 18% exceeded contingency target of 15% but remained manageable without compromising technical work quality. Lesson learned: initial 10% estimate was unrealistic for sponsor requiring active engagement; 15-20% represents more accurate baseline for future projects with similar oversight intensity.

All issues resolved without schedule impact or quality compromise, demonstrating that systematic risk management transforms potential project derailment into manageable adjustments.

Lessons Learned

The project was delivered on time and at the expected quality, made possible in large part by the guidance of Dr. Andrés Fortino. Throughout execution, I developed key competencies across five areas directly relevant to careers in information systems and AI governance.

First, in **applied analytics and decision support**, I designed a SOX 404 classification approach that translates continuous risk scores into actionable severity levels and quantifies abstract AI risks (e.g., bias, model drift) into financial impact. A key takeaway was that decision systems must prioritize worst-case robustness over average-case accuracy, especially in audit contexts.

Second, in **AI governance and compliance**, I mapped 28 evaluation criteria across eight regulatory frameworks, learning that effective compliance requires integrated, not sequential, analysis. I also gained insight into the gap between policy-level compliance and technical validation, particularly for privacy regulations like GDPR and CCPA, which increasingly require testable AI-specific controls.

Third, in **systems analysis and requirements engineering**, I developed a fully traceable Functional Requirements Specification, learning to define clear, testable, and prioritized requirements. This reinforced that precise requirements directly determine implementation success.

Fourth, in **data structures and documentation**, I designed JSON schemas requiring strict precision, balancing simplicity with functionality. I learned that investing in high-quality documentation early significantly reduces downstream implementation effort.

Fifth, in **project management**, I managed a 13-week project with interdependent objectives, applying structured risk management, contingency planning, and stakeholder communication. Notably, several anticipated risks materialized, confirming the value of proactive planning in preventing disruptions.

Beyond these skills, three key lessons emerged: iterative design is more effective than overly complex upfront planning; explicit, well-documented specifications outperform informal approaches; and consistent measurement enables better control and decision-making.

Overall, this project equipped me with a strong combination of technical, regulatory, and management capabilities, positioning me to contribute effectively in AI governance and information systems roles.

Conclusion and Further Work

Limitations of Generative AI for Business Process Automation

Robustness Concerns:

Large language models show output variability even with low temperature settings and structured prompting, which creates challenges for deterministic audit use cases. The PoC mitigated this using single-pass scoring with caching, but production systems require stronger safeguards. These include multi-sample consensus voting (3–5 runs with divergence flags), cryptographic hashing for tamper-evident audit trails, and strict model version pinning to prevent behavioral drift from provider updates.

Generalizability Limitations:

LLM performance declines in domain-specific contexts not well represented in training data, particularly in financial services where proprietary governance structures are common. The framework’s regulatory mappings (SOX 404, GDPR, CCPA) are also financial-services-oriented and do not directly transfer to other domains such as healthcare (HIPAA), education (FERPA), or manufacturing safety systems without redesign and re-mapping.

Future Work:

- (1) Multi-model ensemble validation across GPT, Claude, Gemini, and open-source models to measure agreement and build consensus mechanisms.
- (2) Domain fine-tuning using historical audit workpapers to improve financial reasoning accuracy.
- (3) Industry-specific schema variants for healthcare, hiring, and critical infrastructure

with tailored regulatory mappings.

(4) Hybrid verification systems combining LLM outputs with symbolic AI or formal methods to ensure correctness guarantees.

Conclusions

Overall Outcomes:

The project answered the research question on whether a multi-module LLM ensemble can improve AI auditing across governance, fairness, security, explainability, and performance. All four objectives were completed and approved: (1) 35-page research synthesis, (2) 28 machine-readable criteria mapped to eight regulatory frameworks, (3) Council of Experts architecture with structured synthesis, and (4) a 1,230-line PoC demonstrating deterministic outputs.

Sub-questions were preliminarily validated: ensemble methods improved detection of interdependencies, trigger-based orchestration worked as designed, and performance gains were projected but not yet empirically tested.

Key Findings:

1. No existing framework integrates financial reporting, AI governance, and privacy compliance in a unified system.
2. Ensemble evaluation reveals materially different results than single-model outputs (e.g., corrected severity classification in Scenario 2).
3. Privacy laws require technical validation, not just policy review.
4. Machine-readable schemas enable deterministic automation and reduce subjectivity.

5. Structured risk management ensured all anticipated risks were successfully mitigated without delays.

Viability Assessment:

The PoC validated feasibility with 100% schema compliance, correct SOX classifications, deterministic outputs across runs, and full sponsor acceptance. The system produces actionable audit outputs, differentiating pass vs. material deficiency cases with clear remediation guidance.

Implications**Theoretical Contributions:**

The project extends ensemble learning from prediction accuracy to audit robustness, showing that preserving model diversity improves risk detection. It also demonstrates regulatory convergence, where AI systems must simultaneously satisfy financial, governance, and privacy requirements.

Practical Impact:

The Digital Forge gains reusable audit infrastructure, automated compliance checking, and a validated roadmap for future deployment. The framework is also adaptable to other industries and can support emerging AI audit standards.

Limitations

Technology Trial Pending:

Performance claims (e.g., 90% detection accuracy, 40% time reduction) remain theoretical until validated through the planned live trial (May–August 2026).

Single-Organization Scope:

The system is tailored to financial AI systems and may not generalize without adaptation to other sectors or regulatory environments.

Dependency on Future Projects:

Full functionality depends on implementation in Projects 2 and 3, with production readiness expected post-August 2026.

Model Dependency:

Testing has been limited to GPT-4 and Claude; results may vary across other models or future versions.

Further Work

Short-Term (2026):

Conduct live technology trials, complete system implementation, and deploy production-ready version for 15 AI systems with KPI benchmarking.

Long-Term (2027+):

Expand to other industries, enable continuous monitoring systems, contribute to AI audit standardization, and develop adaptive ensemble architectures.

Closing Summary

This project delivered a complete AI auditing framework combining research synthesis, regulatory mapping, structured architecture, and a validated PoC. It demonstrates that complex AI governance problems can be addressed through systematic decomposition, machine-readable design, and ensemble reasoning. The next phase focuses on empirical validation, production deployment, and extension toward industry standardization.

Repository and Demonstration Tool

GitHub Repository:

- All deliverables for 4 objectives (Framework structure, Research Synthesis, Schema documentation, System architecture): https://github.com/trevli-dev/AIS_AI_Agent_Project1.git
- 28 criterion JSON schemas (complete Module 1-5 specifications): <https://github.com/ZLYONZ/AI-Trust-Safety-Auditing-Agent/tree/main/interface-contracts>

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Appendix B - Project Sponsor Agreement

New York University MS in Management and Systems Applied Project Project Sponsor Agreement																																						
Goals of the Program For Participating Organizations • Begin relationship with New York University • Receive help from highly trained NYU graduate student • Provide internship opportunity for NYU graduate student • Receive assistance at no cost For NYU Graduate Students • Manage and implement a meaningful project aligned with their professional and educational goals • Hands-on experience interacting with a start-up or operational small business or organization • Earn credit toward completion of graduate degree by conducting an unpaid Applied Project under the mentorship of an NYU-SCPS professor. Project Sponsor and Student Responsibilities • Student prepares project planning documents • Sponsor reviews and approves student's project plan • Student submits project plan to faculty supervisors for approval • Student conducts project according to plan • At predetermined milestones sponsor reviews and approves status reports submitted by student • Status reports reviewed and evaluated by faculty supervisors to assure student effort and project meet course requirements • Project sponsor and student participate in periodic project reviews with NYU • At project completion project sponsor completes evaluation forms • Student prepares final report Project Selection Process • Project Evaluation Committee reviews proposed projects • Projects are: - Relevant to MS degree course content - Significant to the participating organization - Substantial in terms of duration and scope - Challenging to the student - Capable of being measured against predetermined goals The MS in Management and Systems Concentrations in: • Strategy and Leadership • Systems Management • Database Technologies • Enterprise Risk Management Typical Participating Student Profile • Students selected to participate in this program meet stringent criteria • Have completed all coursework • High achievers with highest level GPAs and strong academic credentials • 2-10 years of business experience • Highly motivated for success		Sponsor and Project Information <table border="1"><tr><td>Type of Organization</td><td>☒ For Profit ☐ Not for Profit</td></tr><tr><td>Name of Organization</td><td>The Digital Forge (subsidiary of Fortino Global Education)</td></tr><tr><td>Address</td><td>75 Grist Hill Lane, Pleasant Valley, NY, US</td></tr><tr><td>City</td><td>New York</td></tr><tr><td>State</td><td>NY</td></tr><tr><td>Zip</td><td>12569</td></tr><tr><td>Project Sponsor</td><td>First Name: Andrés Last Name: Fortino</td></tr><tr><td>Title</td><td>Project Sponsor</td></tr><tr><td>Phone</td><td>84524427614</td></tr><tr><td>Email</td><td>af249@nyu.edu</td></tr><tr><td>Web Site</td><td></td></tr><tr><td>Type of Business</td><td>Applied AI solutions for business analytics and financial systems</td></tr></table> <table border="1"><tr><td>Student Name</td><td>Wenguang Li</td></tr><tr><td>Project Title</td><td>Project 1 - Research, Framework Design, and Infrastructure for an AI Trust & Safety Auditing Agent for AI-Based Accounting Information Systems</td></tr></table> <table border="1"><tr><td>Description of Project</td><td>Research ensemble-based AI auditing and AI governance frameworks; translate the Iqbal AI Audit Checklist into machine-readable JSON/YAML audit schemas (criteria, evidence fields, scoring scales, severity mapping); and define the system architecture, module boundaries, and interface requirements for a multi-module AIS auditing agent.</td></tr><tr><td>Estimated Hours of Student Participation</td><td>260 hours</td></tr></table> <table border="1"><tr><td>Anticipated Results</td><td>Reusable specification package for AI-based AIS auditing, including: (1) literature review synthesis; (2) JSON/YAML audit framework schemas with scoring and evidence requirements; (3) reference system architecture and interface contracts for 3-5 audit modules; (4) Functional Requirements Specification (FRS); and (5) a lightweight PoC (schema validator + auto-generated audit scorecard/report skeleton).</td></tr></table> <table border="1"><tr><td>Knowledge and expertise student will need to be able to complete the project</td><td> - Applied analytics and decision support (risk scoring, evidence-based evaluation) - AI governance, trust & safety, and compliance mapping - Systems analysis and requirements engineering (FRS) - Data structures and technical documentation (schemas, validation rules) - Project management (milestones, dependency and risk management) </td></tr></table>	Type of Organization	☒ For Profit ☐ Not for Profit	Name of Organization	The Digital Forge (subsidiary of Fortino Global Education)	Address	75 Grist Hill Lane, Pleasant Valley, NY, US	City	New York	State	NY	Zip	12569	Project Sponsor	First Name: Andrés Last Name: Fortino	Title	Project Sponsor	Phone	84524427614	Email	af249@nyu.edu	Web Site		Type of Business	Applied AI solutions for business analytics and financial systems	Student Name	Wenguang Li	Project Title	Project 1 - Research, Framework Design, and Infrastructure for an AI Trust & Safety Auditing Agent for AI-Based Accounting Information Systems	Description of Project	Research ensemble-based AI auditing and AI governance frameworks; translate the Iqbal AI Audit Checklist into machine-readable JSON/YAML audit schemas (criteria, evidence fields, scoring scales, severity mapping); and define the system architecture, module boundaries, and interface requirements for a multi-module AIS auditing agent.	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Will the project sponsor be available for periodic meetings with NYU to review progress, address questions and concerns with the professor supervising the program? <i>This is a requirement for the program.</i> ☒ Yes ☐ No Weekly 30-45 minute check-ins with the sponsor (plus async feedback via email/Slack) to review progress, approve deliverables, and unblock issues; milestone reviews at least once per month for status reports and acceptance of major artifacts; ad-hoc meetings as needed for interface alignment with Projects 2 and 3.																																						
Sponsor Agreement Students are interns, not professional consultants. NYU is <u>not</u> responsible for the outcomes of projects undertaken by students. Work is on a best-efforts basis; no guarantees or warranties are expressed or implied. Organization is responsible for evaluating work presented, determining its value and whether to use it or not. Some projects may require on-going management or even re-work by the Organization after the student completes their Applied Project. Please note that in order to post an unpaid position, the internship must encompass all 6 components below: 1. The internship, even though it includes actual operation of the facilities of the employer, is similar to training which would be given in an educational environment; 2. The internship experience is for the benefit of the intern; 3. The intern does not displace regular employees, but works under close supervision of existing staff; 4. The employer that provides the training derives no immediate advantage from the activities of the intern; and on occasion its operations may actually be impeded; 5. The intern is not necessarily entitled to a job at the conclusion of the internship; and 6. The employer and the intern understand that the intern is not entitled to wages for the time spent in the internship. I have read and agree with the information shown in the Terms and Conditions for employers contained on the following web page(s): http://www.nyu.edu/life/resources-and-services/career-development/employers/post-a-job/terms-and-conditions.html Please complete and sign this form in the space provided below and return to the course professor via the student who will upload the document to the course drop-box. For any questions, please email the professor: Prof. Israel Moskowitz im36@nyu.edu. I agree to all of the above Participating Organization <u>The Digital Forge</u> Date <u>Feb 19th, 2026</u> By (signature): <u>Andrés Fortino</u> Project Sponsor																																						
Printed Name: <u>Andrés Fortino</u> Title: <u>Dr</u> Student Agreement Students who are planning to conduct an unpaid Applied Project must read and agree to the "Important Considerations Before Accepting a Job or Internship" contained on the following web page(s): http://www.nyu.edu/life/resources-and-services/career-development/finding-a-job-or-internship/important-considerations-before-accepting-a-job-or-internship.html. Students do not register their Applied Project with the Wasserman Center. I agree to all of the above Student Name (Print) <u>Wenguang Li</u> Date <u>Feb 19th, 2026</u> Signature: <u>Wenguang Li</u>																																						

Appendix C – Functional Requirements Specifications

Requirements Specifications

Development Platform

Define the minimum UI/UX needed for auditors (evidence checklist, status dashboard, discrepancy review, report export) and accessibility considerations for professional use.

User Interface Design

Define responsiveness and scalability targets for typical audit engagements, parallel module execution behavior, and reliability requirements (fault isolation, retry policies, deterministic outputs given the same evidence).

Performance Requirements

Define interfaces to AIS artifacts and audit tooling (e.g., GRC repositories, ticketing, model registries, logging systems) and define standard JSON/YAML schemas for data exchange.

Integration with Other Systems

Define controlled adaptation mechanisms (e.g., configurable rule/threshold updates and versioned schemas) while prohibiting uncontrolled “self-learning” that would compromise auditability and repeatability.

Learning and Adaptation

Define the structure and behavior of module outputs and the synthesized audit report (SOX 404 classification, PCAOB evidence quality flags, regulatory mapping, remediation recommendations, and traceable citations to evidence).

Response Generation (Audit Findings & Reports)

Specify how auditors provide evidence (uploads, questionnaires, API pulls), configure engagement parameters (materiality thresholds, applicable regulations), and review/override findings in a human-in-the-loop workflow.

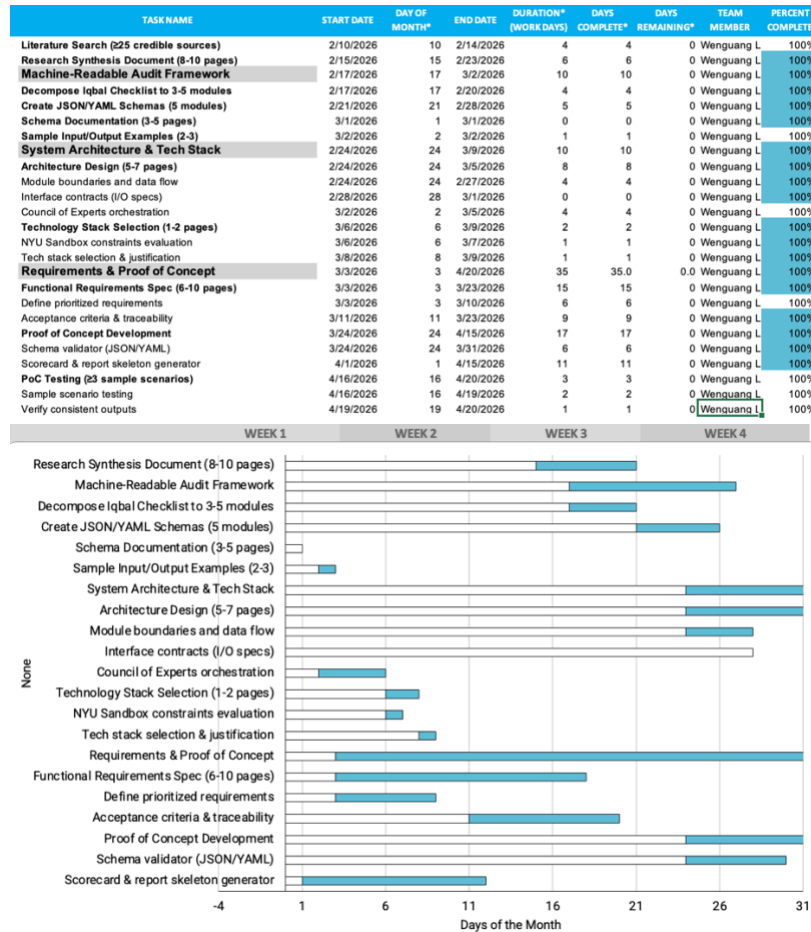
User Interaction

Define the auditing agent’s intended users (external auditors, IT auditors, AIS owners), in-scope AIS/AI use cases (financial reporting-relevant AI), and out-of-scope items (full implementation of production controls; non-AI systems).

Purpose and Scope

The requirements below are organized to mirror common chatbot FRS dimensions—purpose/scope, user interaction, response generation, learning, integrations, performance, UI, and platform—while being tailored to an AI auditing agent for AI-based Accounting Information Systems (AIS).

Appendix D - Project Plan



The deliverables were completed on time with no significant deviations from the planned scope or schedule.

Appendix E - Risk Management Plan

Risks

Number	Risk	Probability Score (1,2 or 3)	Impact Score (1,2 or 3)
1	Scope Creep from Sponsor Feedback Iterations	3	3
2	Machine-Readable Schema Complexity Explosion	3	3
3	NYU AI Sandbox Technical Constraints Discovery Late	2	3
4	Dual Role Overload (Doer + Project Manager)	3	2
5	Coordination Bottlenecks with Projects 2 & 3	2	2
6	Research Synthesis Rabbit Holes (Objective 1)	3	2
7	PoC Development Underestimated (Objective 4)	3	3
8	Documentation Debt Accumulation	2	2
9	Sponsor Availability and Feedback Delays	2	3
10	Quality vs. Speed Tradeoffs Under Time Pressure	3	3
11	Learning Curve for Unfamiliar Technologies	2	2
12	Ambiguity in Acceptance Criteria for Success Metrics	3	3

Risk Matrix

Place each risk in the risk matrix below. Enter just the number into the appropriate box.

RISK (exposure)	1. Slight	2. Moderate	3. High
Probability (of occurrence)			
	1. Very Unlikely	5, 8, 11	3, 9
	2. Possible	4, 6	1, 2, 7, 10, 12
3. Expected			

Contingency Plan

Enter all the risk descriptions. For each of the risks in the risk matrix above that are in the red cells create a contingency plan. Only for the risks in the red cells.

Risk	Description	Probability (1-3)	Exposure (1-3)	Contingency Plan
1	Scope Creep from Sponsor Feedback Iterations	3	3	Establish written acceptance criteria with sponsor BEFORE starting each objective. Request 50% milestone reviews. Build 20-hour revision buffer. Negotiate scope reduction if major revisions requested.
2	Machine-Readable Schema Complexity Explosion	3	3	Start with minimal viable schema. Validate with sponsor and Projects 2 & 3 in Week 3. Focus on 3 modules only initially. Allocate 60 hours. Trigger: >50 hours → freeze at 3 modules.
3	NYU AI Sandbox Technical Constraints Discovery Late	2	3	Week 1-2: Request sandbox access; run smoke tests. Design with fallback options (ChatGPT + local fallback). Document assumptions. Trigger: Constraint discovered → switch to fallback within 48 hours.
4	Dual Role Overload (Doer + Project Manager)	3	2	Reserve 15% weekly hours for PM tasks. Batch coordination in 2-hour Monday blocks. Automate documentation with templates. Async communication preferred. Trigger: PM >20% time → reduce meetings.
6	Research Synthesis Rabbit Holes (Objective 1)	3	2	Hard cap: 35 hours maximum. Weekly targets: Week 2 (20 sources); Week 3 (draft complete). Read summaries only. Trigger: 25 hours with <20 sources → shift to writing immediately.
7	PoC Development Underestimated (Objective 4)	3	3	Minimum viable: Schema validator (20-25 hrs) + 1 scenario. Optional: Scorecard (+15 hrs), report (+10 hrs). Allocate 60 hours total. Trigger: 40 hours incomplete → freeze at validator + 1 scenario.
9	Sponsor Availability and Feedback Delays	2	3	Establish 5-day feedback SLA. Submit 3-5 days early. Provisional approval if no response. Parallel work while waiting. Buffer 1 week before deadlines. Trigger: >7 days delay → escalate to advisor.
10	Quality vs. Speed Tradeoffs Under Time Pressure	3	3	Define acceptable quality threshold upfront. Reserve 10% time for review. Prioritize quality on foundational work. Weekly self-check. Peer review before submission. Trigger: >25

				hrs/week for 2 weeks → reduce scope or extend deadline.
12	Ambiguity in Acceptance Criteria for Success Metrics	3	3	Week 1: Schedule 1-hour meeting to define specific acceptance criteria for each objective. Create Acceptance Criteria Document with sponsor sign-off BEFORE work starts. Use exemplars. Get written confirmation after each review.

Appendix F – Organizational Change Management Plan

The Organizational Change Plan

1. Problem/Solution: The problem is that AI-integrated Accounting Information Systems (AIS) at The Digital Forge lack a standardized, repeatable audit framework, resulting in only ~65% Material Weakness detection accuracy, ~120 audit hours per system, and less than 20% GDPR/CCPA privacy compliance coverage. Two alternatives were evaluated and rejected: off-the-shelf GRC platforms (e.g., ServiceNow) lack AI-specific criteria for fairness, explainability, and cross-module interdependency detection, while enhanced manual CAATs remain time-intensive and inconsistent. The selected solution is a custom five-module AI Trust & Safety Auditing Agent (AuditForge AI) with 28 evaluation criteria, automated SOX 404 scoring, and integrated GDPR/CCPA compliance assessment.

2. Objective Clarification

The project targets five SMART objectives by August 31, 2026: improve Material Weakness detection accuracy from 65% to $\geq 90\%$ (Specific, Measurable), reduce audit time from 120 hours to ≤ 72 hours per system, achieve 100% GDPR/CCPA privacy compliance coverage, detect ≥ 3 cross-module interdependencies per audit (vs. < 1 currently), and raise auditor confidence from 6.5/10 to $\geq 8.5/10$. These objectives are Achievable via the 28-criteria ensemble agent, Relevant to The Digital Forge's AI governance strategy, and Time-bound to the four-month technology trial (May–August 2026). They are aligned with the organization's strategic goal of deploying trustworthy, regulatory-compliant AI systems at scale.

Vision: AuditForge AI aims to establish The Digital Forge as a leader in responsible AI deployment by providing a repeatable, evidence-backed audit infrastructure for all AI-integrated Accounting Information Systems, directly aligned with the organization's strategic goal of trustworthy AI at scale. By standardizing evaluation across five dimensions—governance, fairness, security, explainability, and performance—the agent enables consistent, traceable findings that reduce regulatory risk under SOX 404, GDPR, CCPA, ISO/IEC 42001, and NIST AI RMF. Every AI system entering production at The Digital Forge will have been assessed against a single, integrated compliance framework with auditor-validated, documented evidence.

Key Outcomes: Success requires meeting all five KPIs by August 31, 2026—validated by an independent three-member expert panel—and the trial is considered successful if ≥ 3 of 5 metrics achieve targets with statistical significance ($p < 0.05$). The implementation follows three stages: a Proof of Concept (PoC) with ≥ 3 successful sample audit runs by March 2026, a Technology Trial with 40 audits across four AIS types (May–August 2026), and full production integration thereafter. Outcomes determine the recommendation: immediate full-scale deployment if $\geq 5/5$ targets are met, a phased rollout if 3–4 are met, or a framework refinement and second trial iteration if fewer than 3 are met.

3. Stakeholder Engagement

Identify Stakeholders: Primary stakeholders directly affected include Dr. Andrés Fortino (project sponsor, The Digital Forge), Wenguang Li (project manager and developer), and the ten CPA auditors participating in the technology trial as intervention and control groups. Secondary stakeholders indirectly affected include IT auditors and AIS owners who must provide structured evidence artifacts, and the Projects 2 and 3 team members whose downstream implementation depends on the schemas and architecture delivered by this project. Academic oversight stakeholders include the NYU SPS faculty advisor and Professor Joseph Ng, who evaluate all capstone deliverables.

Communication Plan: Dr. Fortino receives bi-weekly written status reports documenting milestone progress, risks, and decisions, while Projects 2 and 3 teams align through weekly 30-minute check-ins to maintain interface stability. Auditor participants receive onboarding communication via a structured two-day training workshop and a GitHub wiki providing continuous access to documentation, schema guides, and evidence templates. Post-audit surveys and bi-weekly sprint retrospectives collect feedback from all stakeholders, with findings communicated back to the coalition at monthly milestone reviews.

4. Cultural Assessment and Planning Section

Current Culture Analysis: The Digital Forge operates as an agile, AI-forward organization that values innovation and practical delivery, providing a strong foundation for adopting a technology-driven audit solution. However, the primary end users—CPA auditors—bring a professional culture rooted in human judgment and regulatory conservatism, creating resistance to AI-automated scoring and classification of audit findings. A secondary weakness is limited AI literacy among non-technical audit staff, which could slow onboarding and reduce early adoption rates without proactive intervention.

Desired Culture Definition: The target culture is one of AI-augmented professional judgment, where auditors view AuditForge AI as an assistant that standardizes evidence collection and surfaces interdependencies while preserving human oversight through the built-in override feature. The implementation aims to foster evidence-based decision-making, transparency, and continuous improvement, in which teams actively share audit lessons and treat schema updates as organizational learning rather than instability. Alignment with the audit profession's existing values of diligence and explainability serves as the cultural bridge to full adoption.

5. Change Management Section

Change Model Adoption: Kotter's 8-Step Change Model was selected because AuditForge AI requires sustained behavioral change from a skeptical professional community, not merely a technical tool rollout, and Kotter's emphasis on urgency, coalition-building, and short-term wins maps directly to the project's challenges. Urgency is established through the 65% detection rate and regulatory exposure data; the guiding coalition comprises Dr. Fortino, senior audit partners, and the project manager; and the PoC delivers short-term wins via ≥ 3 successful sample audits by March 2026. The final two steps—building on change and anchoring it in culture—are

achieved by integrating the agent into The Digital Forge’s mandatory pre-deployment checklist and embedding framework training in new employee onboarding.

Resistance Management: The two primary resistors identified early are CPA auditors concerned about AI replacing professional judgment, and IT teams resistant to additional evidence collection requirements. Auditor concerns are addressed proactively through the human-in-the-loop override feature—which allows any criterion score to be overridden with documented rationale—and through consistent framing of the tool as augmenting rather than replacing expertise. IT resistance is mitigated by pre-built evidence templates (ROPA, DPIA, breach notification procedures) that reduce preparation burden, supported by a GitHub issue tracker where all concerns are triaged and resolved within defined service level agreements.

6. Skills and Capability Enhancement Section

Skills Inventory: Current skills gaps include limited AI literacy among CPA auditors (particularly in fairness metrics, explainability concepts, and adversarial robustness) and no prior experience with JSON/YAML schema-based audit frameworks across either the auditor or IT teams. These gaps must be closed before the May 2026 trial launch to ensure auditors can effectively operate the agent, interpret criterion scores, and submit structured evidence. If internal upskilling proves insufficient during the PoC phase, recruitment of one AI Governance Specialist will be initiated in Q3 2026 to support escalated fairness testing and ongoing schema maintenance.

Training and Development: A two-day onboarding program will be delivered before the May 2026 trial: Day 1 covers tool navigation, evidence submission workflows, and SOX 404/GDPR/CCPA classification labels; Day 2 is an AI Literacy Module covering bias metrics, explainability concepts, and interdependency trigger logic with case study walkthroughs. Monthly one-hour virtual refresher sessions will keep all auditors current on schema updates and lessons learned, with all materials maintained in the shared GitHub wiki for asynchronous access. If the PoC or early trial reveals persistent skill deficits, a hiring plan will be activated to onboard one AI Governance Specialist with expertise in fairness testing and AI compliance frameworks.

7. Documentation and Communication Section

Process Documentation: All project artifacts—research synthesis, JSON/YAML schemas with changelogs, architecture diagrams, interface contracts, the FRS, and PoC code—are maintained in a shared, version-controlled GitHub repository, with a Decision Log capturing rationale for all key choices such as criteria weights, severity thresholds, and trigger logic. A pre-registered statistical analysis plan documents the trial methodology (independent samples t-test, Cohen’s d, subgroup analysis by AIS type) before data collection begins, and weekly status memos record milestone progress, risks, and corrective actions. The PoC testing phase will execute ≥ 3 sample audit runs to validate schema consistency and all 10 interdependency trigger conditions, with results committed to the repository as formal acceptance test evidence.

Feedback Mechanisms: After each of the 40 trial audits, participating auditors complete a structured post-audit survey (Likert 1–10 for confidence, perceived quality, and ease of use; open-ended for improvement suggestions), with results aggregated weekly by the project manager for real-time iteration. A three-member expert panel—two audit partners and one AI governance specialist—independently reviews all 40 audits in August 2026 to establish ground truth for Material Weakness detection accuracy, and any systematic errors trigger schema refinements documented in the Decision Log. GitHub issues and bi-weekly sprint retrospectives provide additional structured channels for all stakeholders to surface concerns, with each issue labeled by priority and resolved within defined service level agreements.

8. Integration and Adaptation Section

Scalability Plan: Following PoC success, the agent scales through a four-month Technology Trial covering 40 audits across credit scoring, fraud detection, revenue recognition, and expense approval AI systems (May–August 2026), then into full integration within The Digital Forge’s mandatory pre-deployment pipeline for all AI systems in Q4 2026. In the full production phase, API connections to GRC repositories, model registries, and logging systems will be established, and the schema library will be extended to additional AIS types such as trade settlement and loan underwriting. Geographic exemption handling—N/A scoring with automatic weight renormalization for non-GDPR/CCPA jurisdictions—is already embedded in the framework, enabling global deployment without schema modifications.

Continuous Improvement: A Six Sigma DMAIC cycle drives ongoing refinement: Define audit quality gaps through survey and expert panel analysis; Measure criterion-level scoring distributions to identify systematic biases; Analyze root causes of Material Weakness misclassifications; Improve schemas through quarterly version releases with sponsor approval; and Control quality through a GitHub CI/CD schema validation pipeline that prevents regressions. Each quarterly release incorporates feedback from completed audits, regulatory updates (ISO/IEC 42001, NIST AI RMF, SOX, GDPR, CCPA), and monthly auditor refresher sessions, ensuring the framework remains current and actionable. This continuous improvement loop transforms each audit cycle into organizational learning, embedding a culture of evidence-based quality assurance that extends beyond the audit tool itself.

Appendix G – Technology Trial Plan

Business Task and Objectives

Objective: To evaluate the effectiveness of the AI Trust & Safety Auditing Agent in improving audit quality and efficiency for AI-integrated Accounting Information Systems by providing comprehensive evaluation across governance, fairness, security/privacy, explainability, and accuracy dimensions with integrated GDPR/CCPA compliance assessment.

The Hypothesis

Population: Internal and external auditors at financial institutions with AI-integrated AIS systems (credit scoring, fraud detection, revenue recognition, expense approval). Participants are CPAs with 3+ years audit experience and basic AI knowledge.

Intervention: Implementation of the AI Trust & Safety Auditing Agent with 28 criteria across 5 modules, supporting standardized evidence collection, automated scoring, interdependency trigger activation, and SOX 404 Material Weakness classification.

Expected Outcome: Improved Material Weakness detection accuracy, reduced audit time, comprehensive GDPR/CCPA privacy compliance coverage, identification of cross-module interdependencies, and increased auditor confidence in AI audit conclusions.

Control: Traditional manual audit methods using Computer-Assisted Audit Tools (CAATs), manual documentation review, and separate AI fairness/explainability tools applied independently without integrated framework.

We hypothesize that the AI Trust & Safety Auditing Agent will improve Material Weakness detection accuracy from 65% to 90%, reduce audit time from 120 hours to 72 hours per AI system, increase GDPR/CCPA privacy compliance coverage from less than 20% to 100%, identify at least 3 cross-module interdependencies per audit (compared to less than 1), and increase auditor confidence scores from 6.5/10 to 8.5/10 over a four-month period (May 1 - August 31, 2026) compared to traditional manual audit methods.”

Baseline Metrics and Control Group

Baseline Metrics: Material Weakness detection accuracy (currently ~65%), audit time per AI system (currently 120 hours), GDPR/CCPA privacy compliance coverage (currently <20%), cross-module interdependency detection (currently <1 per audit), auditor confidence scores (currently 6.5/10).

Control Group Setup: 10 auditors conducting 20 AI system audits using traditional manual audit methods (CAATs, separate AI fairness tools, separate privacy checklists). AI

systems include credit scoring (8), fraud detection (6), revenue recognition (4), and expense approval (2). Same metrics tracked for direct comparison.

The Trial

Duration: 4 months (May 1, 2026 - August 31, 2026). Pre-trial baseline measurement and training during April 2026. Active trial period May-August 2026. Data analysis and expert panel validation August 16-31, 2026.

Metrics: Material Weakness detection accuracy, audit time efficiency, GDPR/CCPA privacy compliance coverage, cross-module interdependency detection, auditor confidence scores.

Comparison Plan: Compare the improvement in all five metrics between auditors using the AI Agent (intervention group) and auditors using traditional methods (control group). Independent samples t-test ($\alpha=0.05$) for statistical significance. 3-member expert panel (2 audit partners, 1 AI governance specialist) will independently review all 40 audits to establish ground truth for Material Weakness detection accuracy. Cohen's d effect size calculation to measure practical significance.

The Technology

What will be implemented: AI Trust & Safety Auditing Agent, a five-module ensemble-based audit system with 28 evaluation criteria. The Agent provides standardized assessment across: Module 1 - Governance & Compliance (7 criteria including GDPR ROPA/DPIA governance), Module 2 - Fairness & Bias (4 criteria including automated decision-making opt-out), Module 3 - Security & Privacy (6 criteria including Privacy by Design, breach notification, data retention), Module 4 - Explainability & Audit Trail (5 criteria including human review mechanism and CCPA rights), and Module 5 - Accuracy & Performance (5 criteria including personal data inference accuracy and correction rights).

Key features: Automated scoring engine (0.0-1.0 scale per criterion with SOX 404 classification), 10 interdependency triggers for cross-module coordination (e.g., governance gaps trigger fairness escalation; explainability failures flag all findings "Lower Confidence"), materiality calculations including GDPR fines (€20M or 4% turnover) and CCPA private right of action (\$100-\$750/consumer), geographic exemption handling (N/A scoring when GDPR/CCPA not applicable with automatic weight renormalization), and standardized evidence collection templates (ROPA, DPIA, breach notification procedures).

Data Collection

Quantitative data on all five metrics will be collected automatically through the Agent's platform (audit time tracking via timestamps, criterion scores 0.0-1.0 for all 28 criteria, SOX 404 classifications, privacy coverage percentage, interdependency trigger counts) and post-audit surveys (auditor confidence 1-10 Likert scale, perceived quality, ease of use, open-ended feedback).

Analysis of Results

Analysis Method: Statistical analysis will include descriptive statistics (mean, median, standard deviation) for all metrics, independent samples t-test comparing intervention vs. control group means ($\alpha=0.05$), Cohen's d effect size calculation, and subgroup analysis by AI system type. Expert panel consensus will establish ground truth for Material Weakness presence, enabling accuracy calculation as (correctly identified Material Weaknesses / total actual Material Weaknesses) $\times$ 100%. Qualitative analysis will include thematic analysis of survey responses and sentiment categorization.

Evaluation: The analysis will assess whether the expected outcomes were achieved: Material Weakness accuracy $\geq 90\%$ (25% improvement), audit time ≤ 72 hours (40% reduction), privacy coverage 100%, interdependency detection ≥ 3 per audit, auditor confidence $\geq 8.5/10$ (30% improvement). Trial considered successful if at least 3 of 5 metrics meet targets with statistical significance ($p < 0.05$) and no significant negative feedback themes.

Findings and Recommendations

Reporting: Findings will detail the comparison between intervention and control groups across all five metrics, including statistical significance (p-values, 95% confidence intervals), effect sizes (Cohen's d), expert panel validation results, and qualitative feedback themes. Report will include 3-5 case studies demonstrating Material Weakness identification, interdependency trigger activation, and privacy compliance assessment. Trial report delivery by September 15, 2026.

Recommendations: Based on the findings, recommendations will be made regarding full-scale implementation of the AI Agent. If all 5 success criteria met: recommend immediate full-scale implementation. If 3-4 criteria met: recommend phased rollout with ongoing monitoring. If < 3 criteria met: recommend framework refinement and second trial iteration. Recommendations will address framework refinements (criteria adjustments, evidence requirements), training enhancements (duration, depth, practice sessions), platform improvements (UI/UX, automation, integrations), and change management strategy (stakeholder communication, resistance management, rollout timeline).

Project Status Report

Your Name: Wengquei Li

Project Title: Project 1 – Research, Framework Design, and Infrastructure for an AI Trust & Safety Auditing Agency for AI-based Accounting Information Systems

Date of report: Mar 10th, 2026

1. Project Status and Explanation:

Project Status Area	Status (R/Y/G)	Explanation
1. Overall Project Status	●	The project is currently on track with the completion of the foundational research and framework schemes.
2. Project Schedule	●	Objectives 1 and 2 are advanced, despite a minor delay for regulatory enhancements, the timeline remains viable for May completion.
3. Project Deliverables	●	The Literature Review and JGDN/TAAIL machine-readable schemas have been produced as specified.
4. Resources & Collaboration	●	Coordination with Project 2 and 3 owners is ongoing to ensure resource stability.
5. Changes	●	Added two additional regulations to the research synthesis to enhance the audit framework's robustness.
6. Communication	●	Weekly alignment check to ensure maintaining stability across the "Council of Experts" module boundaries.

For status above, indicate Red, Orange, or Green:

- Red: Critical issues, serious risks to project, significant intervention must occur to achieve success, potential for collapse of project activity.
- Orange: Project slippage by 3-5 days, and resources uncommitted to meet deliverables
- Green: Some minor issues, moderate risk to project, must monitor closely, some internal and/or external dissatisfaction with progress. Project plan slipping by 2+ days.
- Blue: No major issues, minimal risk to project, on target with expected outcomes, project on schedule, everyone satisfied with progress.

2. List All Completed Project Tasks:

- Research Synthesis
- The Framework for the AI Auditing agent
- JGDN schema for 5 modules with documentation

3. List any concerns or issues that need the professor's involvement:

- Need to confirm if my current research into AI regulations is deep enough

4. Next series of tasks to complete:

- Design Interface Contracts
- Finalize Thesis Draft
- Finalize Task Stack

5. Sponsor Signoff

Sponsor indicates agreement with the above status report:

Andreea Prizac
 Project Sponsor

Printed Name: Andreea Prizac
 Please print in English

Project Status Report

Your Name: Wengqing Li

Project Title: AI Trust & Safety Auditing Agent for AI-based AIS (Project 1 of 3)

Date of report: Apr 27, 2026

1. Project Status and Explanation:

Project Status	Status	Explanation
1. Overall Project Status	🟢	Objectives 3 & 4 completed. Project 1 at 88% completion. On track for May 3 delivery.
2. Project Schedule	🟢	On schedule. All milestones met on time. Final presentation scheduled May 3, 2026.
3. Project Deliverables	🟢	All deliverables complete and ready for sponsor review.
4. Resources & Collaboration	🟢	All resources available. No external collaboration required for Project 1.
5. Changes	🟢	No major changes. Main LLM confirmed as GPT-4 by sponsor direction.
6. Communication	🟢	Regular updates provided. Presentation scheduling email ready to send to Dr. Fortino.

For status above, indicate Red, Orange, or Green:

Red: Critical issues, serious risks to project, significant intervention must occur to achieve success, potential for collapse of project activity. Project closing by 3+ days, and resources unconsumed to meet deliverables.

Orange: Several major issues, moderate risk to project, must monitor closely, some internal and external dissatisfaction with progress. Project phase slipping by 2+ days.

Green: No major issues, minimal risk to project, on target with expected outcomes, project on schedule, everyone satisfied with progress.

2. List All Completed Project Tasks:

- Objective 2: Research Synthesis - 35 pages, 36+ sources (100% complete)
- Objective 3: Machine-Readable Schema - 5 modules, 28 criteria, 77 page documentation
- Objective 3: System Architecture & Tech Stack - 9+ page document with diagrams, data flow, interface contracts
- Objective 4: Functional Requirements Specification - 14 pages, 35 requirements with acceptance criteria and traceability matrix
- Objective 4: Proof of Concept - Schema validator + scenario generator + report generator with 3 sample scenarios

3. List any concerns or issues that need the professor's involvement:

- None at this time. All deliverables on track.

4. Next series of tasks to complete:

- Conduct Final Testing with sample scenarios (scheduled April 30-30)
- Prepare final presentation materials for May 5, 2026

5. Sponsor Signoff
 Sponsor indicates agreement with the above status report:

By (signature):

Printed Name:

Andrea Fortino
Print name of signatory

Project Status Report

Your Name: Wangqiang Li

Project Title: AI Trust & Safety Auditing Agent for AI-based AIS (Project 1 of 3)

Date of report: Apr 20th, 2026

Project Status and Explanation:

Project Status Area	Status	Explanation
1. Overall Project Status	●	All 6 Objectives completed. On track for May 5 Presentation
2. Project Schedule	●	On schedule. All milestones met on time. Final presentation scheduled May 5, 2026
3. Project Deliverables	●	All deliverables complete and ready for sponsor review
4. Resources & Collaboration	●	All resources available. No external collaboration required for Project 1.
5. Changes	●	No scope changes. Main LLM confirmed as ChatGPT (GPT-4) per sponsor direction.
6. Communication	●	Regular updates provided. Presentation scheduling email ready to send to Dr. Fortino.

For status above, indicate **Red**, **Orange**, or **Green**:

Red: Critical Issues, serious risks to project. Significant intervention must occur to achieve success, potential for completion of project activity. Project slipping by 3+ days, and resources uncommitted to meet deliverables.

- **Orange**: Some major issues, moderate risk to project, must monitor closely, some internal or external dissatisfaction with progress. Project plan slipping by 1-2 days.

- **Green**: No major issues, minimal risk to project, on target with expected outcomes, project on schedule, everyone satisfied with progress.

2. List All Completed Project Tasks:

- Objective 1: Research Synthesis - 33 pages, 364 sources (100% complete)
- Objective 2: Machine Readable Schema - 5 modules, 28 criteria, 17 page documentation
- Objective 3: System Architecture & Tech Stack - 8.9 page document with diagrams, data flow, interface contexts
- Objective 4: Functional Requirements Specification - 10 pages, 35 requirements with acceptance criteria and traceability matrix
- Objective 4: Proof of Concept - Schema validator + scorecard generator + report skeleton with 1 sample scenario
- Testing & Validation: PoC successfully tested with Claude Sonnet 3.6 API
- Risk Management: Comprehensive risk analysis with Contingency plans developed for 8 high-priority risks

3. List any concerns or issues that need the professor's involvement:

- None at this time. Project progressing as planned.

4. Next series of tasks to complete:

- Draft final report
- Create final presentation slides
- Final presentation delivery

5. Sponsor Signoff:

Sponsor indicates agreement with the above status report:

By (signature):

Andrea Fortino

Project Sponsor

Printed Name:

Andrea Fortino

Printed print & Sign

Appendix I - Annotated Bibliography

1. **American Institute of Certified Public Accountants. (2023). AU-C Section 315:**

Understanding the entity and its environment and assessing the risks of material misstatement.

<https://us.aicpa.org/content/dam/aicpa/research/standards/auditattest/downloadabledocuments/au-c-00315.pdf>

Abstract: Provides guidance for auditors to understand the entity, environment, and internal controls to assess risks of material misstatement.

Summary: This standard outlines the procedures auditors use to evaluate a company's operations, internal controls, and risk areas to identify potential misstatements before performing audit procedures. It emphasizes the importance of identifying risks and designing appropriate responses. As a core auditing standard, it serves as a foundation for this project by helping define a structured risk assessment and guiding the logic required for the AI agent.

Comment: This is a core auditing standard that my project must follow. It helps define structured risk assessment. I will use it to guide AI agent logic.

2. **Bellamy, R. K. E., et al. (2019). AI Fairness 360: An extensible toolkit for detecting**

and mitigating algorithmic bias. IBM Journal of Research and Development,

63(4/5), 4:1–4:15. <https://doi.org/10.1147/JRD.2019.2942287>

Abstract: Introduces an open-source toolkit for detecting and mitigating bias in machine learning models.

Summary: This paper introduces an open-source toolkit designed to detect and mitigate bias in machine learning models through various fairness metrics and algorithms. Because fairness is critical to AI audit decisions, these methods will be applied to evaluate bias within the project, thereby improving the overall reliability of the system.

Comment: Fairness is important for AI audit decisions. This helps me evaluate bias. I will apply these methods to improve system reliability.

3. **Bird, S., et al. (2020). Fairlearn: A toolkit for assessing and improving fairness in**

AI. Microsoft Research.

<https://www.microsoft.com/en-us/research/publication/fairlearn-a-toolkit-for-assessing-and-improving-fairness-in-ai/>

Abstract: Describes a toolkit for assessing and improving fairness in AI systems.

Summary: The Fairlearn toolkit provides practical tools to measure disparities and apply mitigation techniques, supporting the responsible deployment of AI systems. These tools complement the project's system design and provide a practical means for evaluating model outputs.

Comment: This provides practical fairness tools and it complements my system design. I may use it for evaluation of outputs.

4. **Braun, R. L., & Davis, H. E. (2003). Computer-assisted audit tools and techniques: Analysis and perspectives. Managerial Auditing Journal.**
<https://doi.org/10.1108/02686900310500216>

Abstract: Analyzes the role of computer-assisted audit tools in auditing.

Summary: This source analyzes how computer-assisted audit tools improve the efficiency and effectiveness of audits while discussing their various benefits and limitations. It provides essential historical context for audit technology, supporting the project's motivation by positioning AI as the next logical step in the evolution of audit automation.

Comment: This gives historical context of audit technology. It helps position AI as the next step, which supports my project motivation.

5. **Committee of Sponsoring Organizations of the Treadway Commission. (2013).**

Internal control—Integrated framework.

<https://www.coso.org/Shared%20Documents/Framework-Executive-Summary.pdf>

Abstract: Provides a framework for evaluating internal control systems.

Summary: The COSO framework defines essential components of internal control, including the control environment, risk assessment, and monitoring. It is a vital resource for evaluating internal controls, and the project system must reflect this structure to ensure alignment with widely accepted financial governance standards.

Comment: This is essential for internal control evaluation. My system needs to reflect this structure, since it ensures alignment with standards.

6. **Dietterich, T. G. (2000). Ensemble methods in machine learning. Springer.**
<https://www2.deloitte.com/us/en/pages/audit/solutions/audit-innovation.html>

Abstract: Reviews ensemble learning methods that combine multiple models.

Summary: This work reviews ensemble learning methods, such as bagging and boosting, which combine multiple models to improve accuracy and reduce errors compared to single models. These findings justify the multi-agent design of the project by explaining the theoretical performance advantages of combining multiple models.

Comment: This supports the multi-agent idea in my project, as it explains why multiple models perform better. I will use it to justify design.

7. **European Parliament. (2024). Regulation (EU) 2024/1689 (Artificial Intelligence**

Act). Official Journal of the European Union. [https://eur-lex.europa.eu/legal-](https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:32024R1689)

[content/EN/TXT/?uri=CELEX:32024R1689](https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:32024R1689)

Abstract: Establishes rules and governance requirements for AI systems in the EU.

Summary: This regulation establishes governance requirements and rules for AI systems in the EU, emphasizing transparency, accountability, and safety through defined risk levels. It provides the necessary regulatory context for the project, ensuring that the system design adheres to emerging governance and responsible AI requirements.

Comment: This provides regulatory context. My system must consider governance. It supports responsible AI design.

8. **Financial Stability Oversight Council. (2024). 2024 annual report. U.S. Department of the Treasury.**

<https://home.treasury.gov/system/files/261/FSOC2024AnnualReport.pdf>

Abstract: Analyzes risks to financial stability including emerging technologies.

Summary: This report analyzes risks to financial stability, including those posed by emerging technologies and systemic risks within financial systems. By connecting AI with financial risk and highlighting the need for oversight, this source supports the overall relevance and necessity of the project.

Comment: This connects AI with financial risk, and it highlights governance importance. It supports the relevance of my project.

9. **Fortino, A., Dandapani, A., & Ng, J. X. (2025). From single best solutions to multi-module inference ensembles: Rethinking intelligent system design in the age of large language models. Decision Sciences Institute Conference Proceedings. [Accepted for DSI Annual Conference 2026]**

Abstract: Proposes multi-module AI systems for improved reasoning.

Summary: This paper proposes that multi-module AI systems offer improved reasoning, flexibility, and performance compared to single-model approaches. It is directly related to the project and serves as a core part of the framework supporting the proposed multi-agent architecture.

Comment: This is directly related to my project. It supports the multi-agent architecture, which is part of my core framework.

10. **International Federation of Accountants. (2024). AI oversight readiness in the accounting profession. [Verify at <https://www.ifac.org/knowledge-gateway/artificial-intelligence-technology>]**

Abstract: Examines readiness of the accounting profession for AI adoption.

Summary: This report examines the challenges and governance needs of the accounting profession as it adopts AI. Providing insight into real-world risks, it helps shape a practical design for the system that remains relevant to the current needs of the profession.

Comment: This provides real-world challenges. It helps shape practical design and ensure relevance to the profession.

11. **International Organization for Standardization. (2023). ISO/IEC 42001:2023**

Information technology—Artificial intelligence—Management system.

<https://www.iso.org/standard/81230.html>

Abstract: Defines AI management system standards.

Summary: This standard defines management requirements for AI, focusing on governance, risk management, and accountability. It supports the governance structure of the project, ensuring responsible design and effective system oversight.

Comment: This supports governance structure in my project. It ensures responsible AI design.

12. **National Institute of Standards and Technology. (2023). Artificial intelligence risk management framework (AI RMF 1.0) (NIST AI 100-1).**

<https://doi.org/10.6028/NIST.AI.100-1>

Abstract: Provides a framework for identifying and managing AI risks.

Summary: The NIST framework provides a structured approach for identifying and managing AI risks to ensure trustworthiness and reliability. This is key for defining specific controls within the project's system to support overall reliability and trust.

Comment: This is key for managing risks in my system. It helps define controls, while supporting reliability and trust.

13. **Okpala, I., et al. (2025). Agentic AI systems applied to tasks in financial services:**

Modeling and model risk management crews (arXiv:2502.05439). Discover

Financial Services. <https://arxiv.org/abs/2502.05439>

Abstract: Explores multi-agent AI applications in financial services.

Summary: This paper explores the coordination, governance, and risks associated with multi-agent AI applications specifically within financial services. It is highly relevant to the project as it connects AI agents with finance, directly informing the system design

Comment: This is highly relevant to my project. It connects AI agents with finance and informs system design.

14. **Public Company Accounting Oversight Board. (2023). AS 1105: Audit evidence.**

<https://pcaobus.org/oversight/standards/auditing-standards/details/AS1105>

Abstract: Defines requirements for audit evidence.

Summary: This standard defines the requirements for obtaining sufficient and appropriate evidence during an audit. The project's system must follow these definitions to evaluate evidence correctly and ensure the validity of the resulting audits.

Comment: This defines how evidence should be evaluated. My system must follow this, which ensures audit validity.

15. **PricewaterhouseCoopers. (2025). Validating multi-agent AI systems: From modular testing to system-level governance. <https://www.pwc.com/us/en/services/audit-assurance/library/validating-multi-agent-ai-systems.html>**

Abstract: Discusses validation and governance of multi-agent AI systems.

Summary: This report discusses testing methods and system-level validation approaches specifically for multi-agent AI systems. It directly applies to the project's validation phase, assisting in the design of reliable testing methods.

Comment: This directly applies to my system validation. It helps design testing methods and also supports reliability.